

Atchison Active Alternatives SMA

31 July 2024

PORTFOLIO PERFORMANCE

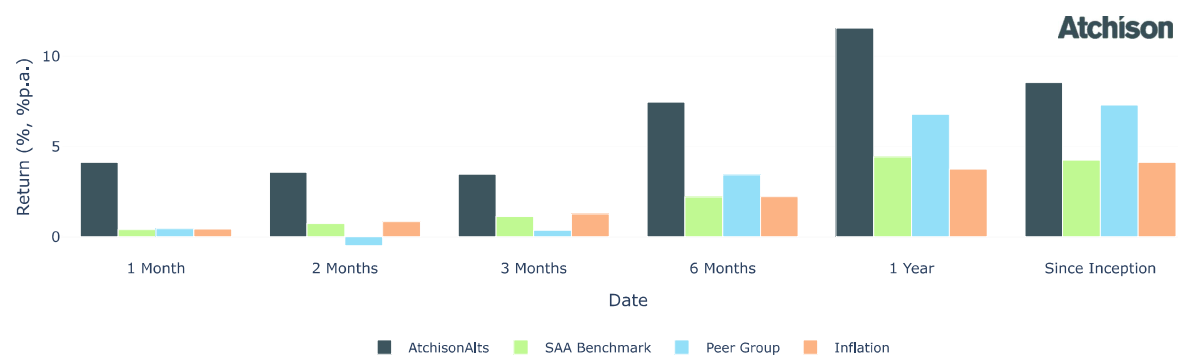
The Atchison Active Alternatives SMA delivered 4.1% for the month, and 3.5% over the quarter.

Over the last 12 months, the Atchison Active Alternatives SMA delivered 11.6%, significantly beating Inflation by 7.8%. Relative to the Peer Group (FE AMI Peer Average), Atchison Active Alternatives SMA has significantly outperformed over the last 12 months.

Since inception of the strategy, the Atchison Active Alternatives SMA has delivered 8.5%, significantly beating Inflation by 4.4%. Relative to the Peer Group (FE AMI Peer Average), Atchison Active Alternatives SMA has outperformed since inception of the strategy.

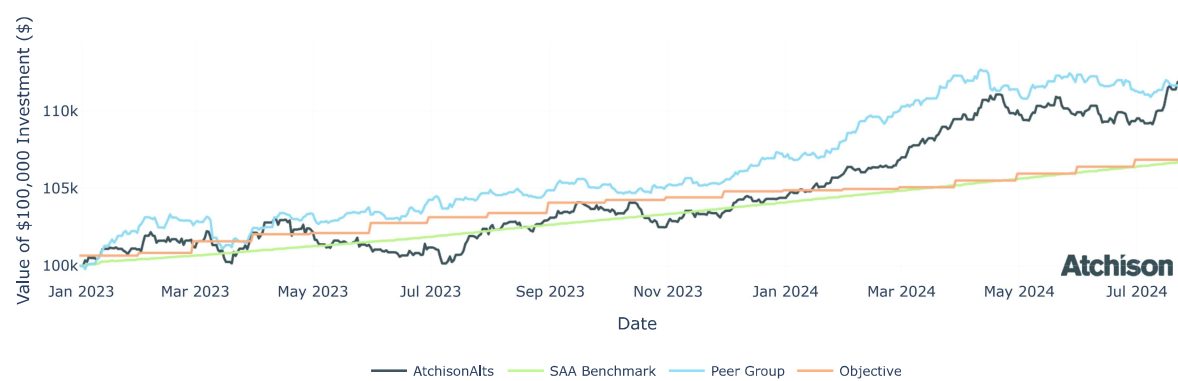
All performance metrics listed above are net of appointed investment management fees but before tax.

Returns vs Benchmarks



	1 Month	2 Months	3 Months	6 Months	1 Year	Since Inception
AtchisonAlts	4.13	3.58	3.47	7.46	11.55	8.54
SAA Benchmark	0.40	0.73	1.13	2.21	4.43	4.24
Peer Group	0.45	-0.49	0.36	3.44	6.78	7.30
Inflation	0.42	0.84	1.27	2.22	3.75	4.12

Performance of \$100,000 Investment

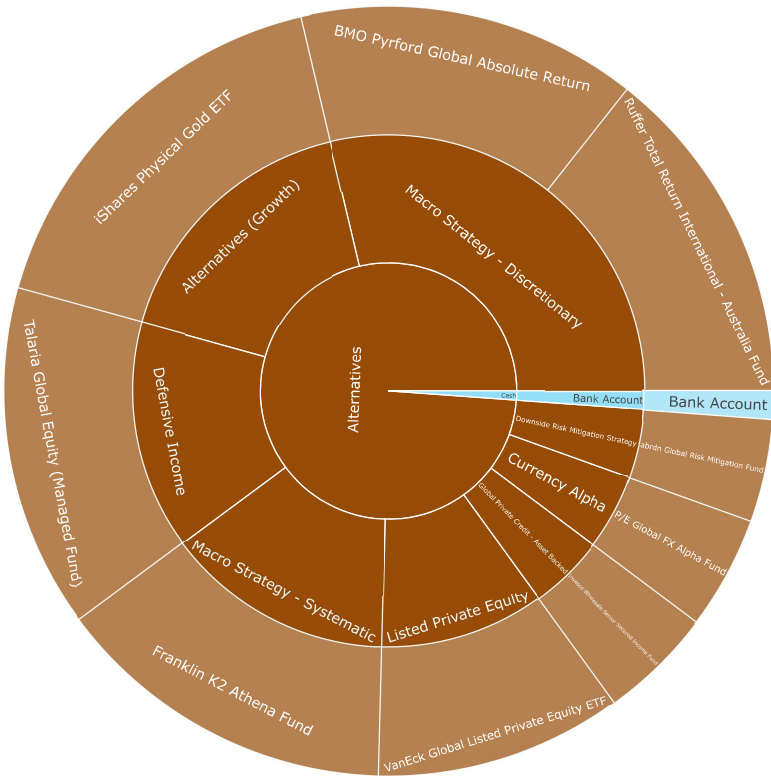


PORTFOLIO COMMENTARY

- On a weighted basis, the largest contributor to the portfolio outcome has been VanEck Global Listed Private Equity ETF
- The holding that contributed the least to portfolio return was Ruffer Total Return International - Australia Fund
- The current holding with the highest absolute return has been VanEck Global Listed Private Equity ETF
- Whilst the current holding with the lowest absolute return has been abrdn Global Risk Mitigation Fund

PORTFOLIO CONSTRUCTION

Portfolio Construction - Allocation Category



Atchison

MARKET OVERVIEW - July 2024

- Australia's share market made history in July closing above eight thousand points for the first time buoyed by hopes that the US is on the verge of cutting interest rates.
- Seasonally, July is one of the best months of year for Australian equity returns, and July continued that trend returning +4.2% for the month and +13.4% for the year.
- Towards the end of the month weaker than expected Australian inflation numbers (0.8% trimmed mean q-o-q) removed the risk of a near term interest rate hike. Expectations the next move will be down in the first half of CY2025.
- Australia's bond market is currently only pricing a 16% chance that the RBA will lift interest rates to 4.6% in August.
- Australian unemployment rate increased slightly from 4.0% to 4.1% and future indicators point to upward trend.
- The shift in the expected timing of interest rate change weighed on the AUD/USD which fell 1.9% to 65.41c.
- Australian house prices continued to rise unevenly across Australia. Nationally, house prices rose by +0.5% m/m or +7.9% y/y. Perth prices were the strongest out of the capital cities in July, up +0.5% m/m or +7.9% y/y.
- Australian building approvals fell in June (-6.5% m/m) and remain at an exceptionally low level.
- Biden was withdrawing in favour of Kamala Harris, and whether Jerome Powell, Fed Chair would hint when US rate cuts from current 5.5% would start to fall, given US inflation fell to 3%.
- The US market is now pricing in five interest rate cuts in the US over the next 12 months commencing in September.
- The broad global equity market returned +4.1%, but the smaller company version was even higher, returning +9.3%.
- Against the backdrop of potential falling rates, interest sensitive assets outperformed growth and large cap equity indices.
- European Central Banks left rates unchanged. European inflation unexpectedly rose in July to 2.6%.
- Commodities broadly fell but precious metals rose. Steel making commodities suffered as prices fell -8%, impacted by soft Chinese property data and high Chinese (iron ore) port stocks.

CONTACT US

Please reach out via phone or email below:

Email: enquiries@atchison.com.au

Phone: +61 3 9642 3835

Address (Melbourne): Level 4, 125 Flinders Lane Melbourne Victoria 3000 Australia

Address (Sydney): Level 3, 63 York Street, Sydney, NSW 2000 Australia

FINE PRINT

Important Notice: This document is published by TAG Asset Consulting Group Pty Ltd, trading as Atchison Consultants, ABN 58 097 703 047, AFSL 230 846. Atchison Consultants distributes its investment solutions via platform and dealer groups (financial advisory groups).

Warning: Please be advised that past performance is not indicative of future performance. The returns discussed herein are based on model asset allocations and are for illustrative purposes only. Actual returns may differ due to variations in fees, timing of model change implementation, and the need to substitute individual holdings where reliable data was not available from our data providers. Any insights or recommendations provided in this document are intended for general advice purposes only and are based on our opinion of the investment merits of the financial products discussed, independent of the financial circumstances of any individual. Before proceeding with any investment based on the information provided, recipients must assess its suitability to their financial situation and consider seeking advice from an independent financial advisor.

Disclaimer: While care is taken to ensure the accuracy and completeness of the information presented herein, no warranties or representations are made as to its reliability. The content provided is derived from publicly available sources, or external data providers, which have not been independently verified by Atchison Consultants. Atchison Consultants, along with its directors, officers, employees, and agents, expressly disclaims any liability for errors, inaccuracies, or omissions in this document, as well as for any loss or damage that may arise from reliance on its contents. Readers are cautioned to verify all information independently before taking any actions based on this report.

